FROM THE
EDITOR-IN-CHIEF

Dharavi and Gautam Adani. The pairing is instantly dramatic, a study in stark contrasts. One is among the world's largest slums, the other one of its wealthiest men. In November 2022, the fortunes of the two became entwined as the Maharashtra government handed the mammoth Dharavi Redevelopment Project to Adani through a special purpose vehicle, Navbharat Mega Developers Private Limited (NMDPL). Adani Properties, the real estate arm of the Adani Group, holds an 80 per cent stake; the state owns the remaining 20 per cent. This May, the state government cleared the masterplan for Dharavi's redevelopment.

At current estimates, Adani's total investment could reach Rs 2.5 lakh crore. That includes on-location and off-site housing, commercial rehabilitation, infrastructure such as roads and a revamped Mithi riverfront, as well as the centrepiece: 140 million sq. ft of built-up real estate for sale, around half of which will be within Dharavi. It's one of the biggest bets of his career, but also more than that. It's a test of whether private capital can succeed where decades of public policy have failed: to reimagine and rebuild a slum that is at once iconic and a civic shame. If he pulls it off, it will count among the most ambitious acts of urban renewal in India's modern history. It will also burnish his image as a nation-builder and unlock a goldmine of real estate in the heart of Mumbai.

▲ November 15, 1983

It is, frankly, a travesty that 21st-century India's financial capital continues to host a sprawling shantytown where 1.2 million people live packed into 621 acres, most of whom lack access to basic amenities. Dharavi is so dense that a person gets barely 25 sq. ft of space, while the city average is 15 times that. Dharavi's residents live in a poverty of space, not spirit. Industrious and self-reliant, they have built a thriving informal economy with an annual turnover of Rs 8,623 crore. In Dharavi, 'residential' and 'commercial' are often stacked on top of each other. A 10x10 ft home above, a buzzing micro-enterprise below. Some 20,000 manufacturing/ retail units and single-room factories produce a wide range of items, including garments, wigs, diyas, and Mumbai's breakfast staples, such as idli, vada and pav. It is a model of survival and productivity, creating livelihoods for hundreds of thousands of people, where governments have long failed.

The challenge is to modernise this dense ecosystem without killing what makes it work. Rehabilitation is fraught with challenges, including land acquisition, relocation, bureaucratic red tape, and inevitable social unrest. Many have baulked. But if anyone can break this impasse, it may be the Adanis. They have capital, a track record of executing mega projects, and the benefit of political goodwill. That gives them the clearest runway India's system allows. Until now, Adani has built world-class infrastructure projects like airports and ports but has not dealt with issues relating to uprooting the lives of a million human beings. The questions are complex, and scrutiny will be intense.

The tripartite plan allocates 43.3 per cent of Dharavi's 269 acres of net developable land for rehabilitation and 44 per cent for commercial use. The remaining areas would be for utilities and facilities. Rehabilitation includes 58,532 flats, each measuring 350 sq. ft. Only those living on the ground floor before January 1, 2000, will get one free, covering barely half of today's residents. Nearly half a million people may relocate to new flats across six suburban sites, which will be sold or rented to them at subsidised rates. Adani has been allotted 541.2 acres of state land at concessional prices for these sites, including in three salt pan areas and one dumping ground. Critics call it a "land grab in disguise". There are ecological concerns, too, and suburban locals are unhappy about the demographic shift; many evictees are likely to be Muslim.

The same eligibility rules apply to the rehabilitation package for commercial units: 20,000 new spaces of 225 sq. ft will be handed out within Dharavi for free or on rent/ hire purchase, but business owners may find their labour force scattered. Meanwhile, Adani's share of 118.5 acres in Dharavi will open up 69.43 million sq. ft of prime real estate for him, right next to the premium Bandra Kurla Complex. All rehabilitation is to be completed by 2032. Adani's showpiece business district will take 25 years. It is expected to generate Rs 5.6 lakh crore, but only if everything goes to plan.

In our cover story, Senior Associate Editor Dhaval S. Kulkarni unpacks every layer of this unprecedented gamble on poverty, profit and the promise of renewal. For Adani, it's a colossal wager that could either get him more fame and fortune or mire him in folly and failure. If he succeeds, it would be a fine blueprint for India to stem the urban decay which is plaguing it.

(Aroon Purie)